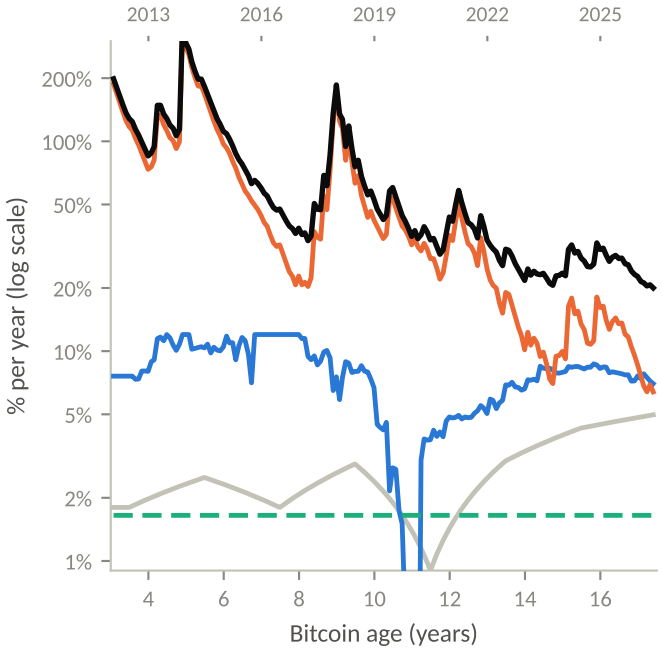
Equation (1), term by term: concentration carried the early requirement; market risk and the risk-free rate carry today's

mid-band decomposition of the monthly required return; mortality held constant at the midpoint of its range (dashed); concentration is the remainder

Levels: each term of the requirement



total required return
concentration risk γσ²w
risk-free rate
market risk β·ERP (rolling 4-yr beta)
mortality risk λ(1−δ) (held at 1.65 pts)

Shares of the total: a constant term grows as the total shrinks

